

Domain 1 — Foundations of Accounting · Narration Script

PCP-AI Lecture Series · Project Controls Institute

The word-for-word narration behind each slide of the animated Domain 1 lecture — for recording a voiceover or presenting live. One slide advances one build at a time; the narration is written to be read at a natural pace (~110–130 words per minute), giving a full lecture of roughly 50–55 minutes. Timings are indicative. Pair each block with the matching slide of `Domain-01-Foundations-slides.pdf` or the live animated deck.

Slide 01 · Foundations of Accounting

Welcome. This is Domain 1 of the PCP-AI programme — the foundations of accounting, taught for project-controls professionals. Not to make you an accountant, but so that every cost report, earned-value curve and forecast you produce is grounded in the record it ultimately comes from. Press the right arrow, or the space bar, to advance — the slides build one step at a time, at your pace.

Slide 02 · Paced by you, one idea at a time

A quick orientation. The bar along the top tracks the five Knowledge Areas of this domain — you can click any segment to jump. The lecture is paced by you: each press reveals the next step, which is exactly how people learn a process best — one idea at a time, not a wall of text. Press N at any point to read the speaker notes for the current slide, and T to switch between light and dark.

Slide 03 · Every number you report is a view into one record

Why does a planner, a cost engineer or a quantity surveyor need accounting? Because every artefact you produce — the cost report, the earned-value curve, the payment application, the estimate at completion — is, in the end, a particular view into one underlying record: the double-entry ledger. Understand that record and the numbers stop being someone else's black box. This domain builds it in five steps.

KA 1.1 — The accounting model

Slide 04 · The accounting model

Knowledge Area 1.1 — the accounting model. This is the load-bearing chapter of the whole domain: the accounting equation, the rules for debiting and crediting each kind of account, and the cycle that turns raw transactions into a checked set of figures. We

build it around one running company, Meridian Rail Contracting, so the journal, the ledger and the trial balance are seen as one connected system.

Slide 05 · Assets = Liabilities + Equity

Here is the whole of accounting on one line. Assets equal liabilities plus equity. Assets are the resources the entity controls. Liabilities are what it owes. Equity is the residual — what's left for the owners once the liabilities are met. Picture a balance scale: assets on one pan, liabilities and equity stacked on the other. The genius of double-entry is that the scale is level by construction — every transaction is recorded twice, once on each side, so it can never tip.

Slide 06 · Three transactions, one level scale

Watch Meridian Rail Contracting's first three days. One: owners put in five hundred thousand of share capital — cash rises, equity rises, scale level. Two: a two-hundred-thousand bank loan — cash rises, a liability rises, still level. Three, and this is the one that trips people up: they spend a hundred and fifty thousand cash on site equipment. Cash falls, equipment rises by the same amount — total assets are unchanged, and nothing on the other side moves. Not every transaction touches profit. Many just change the mix of what you own.

Slide 07 · Five account types, one rule each

To record two effects we use two columns: debit — conventionally the left — and credit, the right. Debit does not mean bad, and credit does not mean good; it's just a consistent labelling system that's been in use since the fifteenth century. The trick is that each of the five account types has a normal side. Assets and expenses — the uses of resources — increase on the debit side. Liabilities, equity and income — the sources — increase on the credit side. Learn this table once and posting becomes mechanical.

Slide 08 · Journal → ledger → trial balance → equation

Now the cycle. A transaction is first written in the journal — the diary, in date order, with a narration. It's then posted to the ledger, where each account collects its own debits and credits. At period end we list every ledger balance in a trial balance, and finally we roll the income and expense accounts into equity and confirm the equation holds. Same four steps, every entity, every period. Let's run Meridian's full first month through it.

Slide 09 · The Cash T-account, filling

Here is Meridian's Cash account as a T. Debits — money in — on the left; credits — money out — on the right. Capital brings in five hundred thousand, the loan two hundred, the client pays a hundred and fifty. Out goes a hundred and fifty for equipment, forty-five for wages, fifty to the supplier. Left total eight-fifty, right total two-forty-five, so the closing balance is six hundred and five thousand, on the debit side,

because cash is an asset. Every line still traces back to its journal entry — that trail is the whole point.

Slide 10 · Both columns prove equal

List every ledger balance in two columns and total them. For Meridian the debits sum to one million twenty-two thousand five hundred, and so do the credits. They agree — the ledger is mechanically in balance. But hold that word 'mechanically' — it's about to matter.

Slide 11 · What a balanced trial balance cannot catch

This is the single most examined idea in the whole domain, so slow down. A trial balance proves debits equal credits — nothing more. Suppose a sixty-thousand materials cost was posted to Labour cost instead of Direct project cost. Both are debit-normal expense accounts, so the totals are completely unchanged — the trial balance still says one-oh-two-two-five. It is blind to it. Errors of principle, of omission, of commission, and compensating errors all survive a balanced trial balance. It is a necessary check, never a sufficient one.

Slide 12 · Profit becomes equity; the equation holds

Close the loop. Meridian's revenue was two-twenty; its costs — materials, labour, subcontractor and depreciation — total one-seventy-seven and a half. So net profit is forty-two thousand five hundred. That profit rolls into equity: five hundred of capital plus forty-two-five is five hundred and forty-two thousand five hundred. Assets net of depreciation are eight-forty-two-five; liabilities are three hundred thousand. And there it is — eight-forty-two-five equals three hundred plus five-forty-two-five. The equation we started with holds exactly, on the real numbers. That is the professional's period-end check.

Slide 13 · KA 1.1 · Knowledge check

Quick check — this is the exam favourite. A trial balance balances, but a fifteen-thousand subcontract cost was posted in full to Labour cost. Why did the trial balance miss it? Take a moment, then choose.

KA 1.2 — Components of the financial statements

Slide 14 · Components of the financial statements

Knowledge Area 1.2 — the financial statements. The trial balance we just built isn't a report anyone reads. It becomes four connected statements, each answering a different question, plus the notes that explain them.

Slide 15 · Four statements, four questions

Four statements, four questions. The Statement of Financial Position — the balance sheet — asks 'what do we own and owe at a point in time?' The Statement of Profit or Loss asks 'how did we perform over the period?' The Statement of Cash Flows asks 'where did the cash actually move?' — because profit is not cash. The Statement of Changes in Equity reconciles the owners' stake. And the notes explain the judgements behind all four.

Slide 16 · They lock together

The statements aren't four separate documents — they articulate. The profit from the income statement flows into retained earnings, which is part of equity, which sits on the balance sheet. The bottom line of the cash flow statement is the cash figure on the balance sheet. Pull one thread and the others move. For Meridian: the forty-two-five profit becomes part of the five-forty-two-five equity, and the six-oh-five-thousand closing cash is exactly the cash on its balance sheet. One coherent picture, four windows onto it.

KA 1.3 — Accrual accounting & the matching concept

Slide 17 · Accrual accounting & matching

Knowledge Area 1.3 — accrual accounting and matching. This is where accounting and cash part ways, and it's the single most important idea for anyone who reports cost. We record economic events when they happen, not when the money moves.

Slide 18 · When do you record it?

Two ways to keep score. On the cash basis you record only when money moves — simple, but it lies about performance: a month with a big subcontractor bill unpaid looks profitable, then crashes when you settle it. The accrual basis records the economic event when it occurs — the cost when the work is done, the revenue when it's earned — regardless of cash. IFRS requires the accrual basis, and it's the only basis that gives a true cost report. Cash still matters, but it's a separate statement.

Slide 19 · Cost done, invoice not yet arrived

Here's the move that keeps a cost report honest. At month-end, Meridian's subcontractor has done eighteen thousand of verified work but hasn't invoiced yet. On the cash basis you'd record nothing — and understate the month's cost by eighteen thousand. The accrual fixes it: debit subcontract cost, credit accrued expenses, eighteen thousand, so the cost lands in the right period. Then, cleanly, you reverse it at the start of next month, so when the real invoice arrives it isn't double-counted. Cost done, cost recorded — that's the discipline behind every reliable earned-value report.

KA 1.4 — Cost provisions & accruals

Slide 20 · Cost provisions & accruals

Knowledge Area 1.4 — provisions and cost accruals. This is where accounting meets judgement. Some costs you know are coming but you're not certain of the timing or the amount — a warranty, a dispute, a loss-making contract. IAS 37 governs when and how you put those on the books.

Slide 21 · From invoice to informed estimate

Think of a certainty spectrum. A trade payable is an invoice you've received — certain amount, certain timing. An accrual is work done but not yet invoiced — near-certain amount, estimated. A provision sits furthest out: a liability of uncertain timing OR amount — a warranty claim you know will come but can't size precisely. As certainty falls, judgement rises, and IAS 37 draws the line for when a provision is allowed onto the books at all.

Slide 22 · Three gates — all must open

IAS 37 sets three gates, and all three must open. One: is there a present obligation from a past event? If the obligating event hasn't happened, you stop here — a future operating loss fails this outright, however likely it is. Two: is an outflow of resources probable — more likely than not? Three: can you make a reliable estimate of the amount? Pass all three and you recognise a provision. Fail on probability and it becomes a contingent liability — disclosed in the notes, not booked. This gate is the most examined judgement in the domain.

Slide 23 · Warranty, and the loss-making contract

Two provisions matter most on projects. A warranty: Meridian expects rectification claims after handover — measured at expected value and, because it's settled in the future, discounted to present value, giving a figure like ninety-five thousand two hundred and thirty-eight. And the big one for controls: the onerous, or loss-making, contract. The moment a contract's unavoidable costs to finish exceed the revenue left to earn, IAS 37 makes you provide for the whole expected loss now — you cannot spread bad news. Spotting that tipping point early, from the cost forecast, is exactly the controls professional's job.

KA 1.5 — Chart of accounts & cost coding

Slide 24 · Chart of accounts & cost coding

Knowledge Area 1.5 — the chart of accounts and cost coding. This is where accounting becomes usable for project controls: the structure that lets a single ledger answer 'how

much has this work package cost?' The cost code is the bridge between the accountant's ledger and the project's work breakdown.

Slide 25 · One code, many views

A cost code is a little address. Read this one left to right. Zero-seven is the work-breakdown element — the pipeline segment. Thirty is the cost element within it — say, mechanical. Zero-three is the sub-element — pipe-laying. Five-thirty is the natural account — the kind of cost, here labour. String them together and one ledger line can be sliced by work package, by cost type, or by natural account, all at once. That's what lets the same record feed both the statutory accounts and the earned-value report.

Slide 26 · Where AI helps — and where it stops

Coding is also where AI earns its place — carefully. Two capabilities are genuinely established today: auto-classification, where a model suggests the cost code for an incoming invoice from past patterns; and anomaly detection, which flags a posting that doesn't fit — a labour code with no matching timesheet hours, exactly the error the trial balance missed back in 1.1. Both are strong at surfacing candidates for review. Neither knows why a break exists, and both learn past mistakes as readily as past good practice. So they route to a human for anything material. AI proposes the code; the professional disposes.

Slide 27 · One connected system

Step back and see the through-line. One ledger, built from the equation and double-entry. It becomes four statements that articulate. Timing — accrual and matching — decides which period a cost belongs to. Judgement — provisions under IAS 37 — handles the costs you know are coming. And cost coding threads it all onto the work breakdown so a project-controls professional can actually use it. Five Knowledge Areas, one connected system.

Slide 28 · “AI proposes; the professional disposes.”

That completes Domain 1. Next is Domain 2 — financial reporting and the standards — where these foundations meet IFRS in depth, including IFRS 15 and how revenue is recognised on a construction contract. Thank you.

Reminder for the presenter: this is an SME-verifiable teaching draft. Confirm the worked figures, standard references (IAS 1, IAS 7, IAS 37, IFRS 15) and AI claims before broadcasting. British English throughout; the running worked example is Meridian Rail Contracting LLC.